

Article | 20 July 2026

COMMODITIES DAILY

The Commodities Feed: Persian Gulf escalation pushes Brent above \$90

With little sign of de-escalation in the Middle East, oil prices continue to move higher as vessel flows essentially grind to a halt



Source: Shutterstock

Energy – Speculators jump into oil amid renewed disruptions

ICE Brent broke above US\$90/bbl this morning with no let-up in the escalation in the Persian Gulf. The US and Iran continue to exchange strikes, which are proving to be deadly for both sides. If this escalation goes unchecked, we could return to an environment of wide-scale attacks across the Persian Gulf. Vessel flows have essentially ground to a halt. LSEG data shows that only two outbound visible oil tankers transited the Strait of Hormuz, with no inbound traffic. Flows are essentially back to where they were before the Memorandum of Understanding (MoU).

Meanwhile, reports are that Iran told the Houthis in Yemen to essentially shut the Bab el-Mandeb Strait if the US attacks Iranian power infrastructure. This strait is important for vessel movements through the Red Sea. The Saudis have relied heavily on this route since the war began to bypass the Strait of Hormuz. If closure occurs, tankers would have to enter and exit the Red Sea via the Suez Canal. This would make Saudi oil exports to Asia a lengthier and costlier affair.

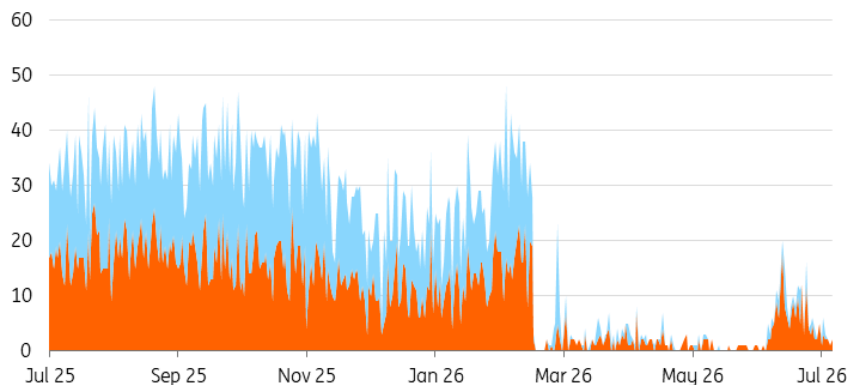
The issue for the oil market is that SPR releases, which have offered some relief during the war, are set to cease around the end of this month. This leaves the market relatively more vulnerable. Clearly, there's always the potential for SPRs to be tapped further. The US may be willing to do so, given that the 172m barrels it's in the process of releasing are structured as an exchange rather than a pure release. So, these barrels will be returned to the SPR plus interest in the form of additional supply.

Given the market moves in recent weeks, it's unsurprising to see speculators increase their net long in ICE Brent. They bought 114,752 lots over the last reporting week, leaving them with a net long of 169,839 lots as of last Tuesday. The move was driven predominantly by fresh longs entering the market. Meanwhile, speculators also increased their net long in ICE gasoil by 2,389 lots over the week to 71,875 lots. Given the recent move in the gasoil market, it's surprising that we have not seen more aggressive speculative buying, though this may be more evident in the next Commitment of Traders report.

The European gas market is seeing relatively more strength than oil this morning, with TTF up more than 5% and breaking above EUR60/MWh. The gas market is more vulnerable to these supply disruptions from the Middle East. The post-MoU rebound in vessel traffic made one thing clear: LNG flows lagged the recovery. If this latest flare-up follows the same pattern, any eventual resolution could again bring a slow LNG ramp-up — leaving the market exposed as we edge closer to the heating season. EU gas storage is less than 54% full vs. 64% last year and a five-year average of 69%.

On Friday, the European Commission announced its proposals for an overhaul of the Emissions Trading System (ETS). They include reducing the Linear Reduction Factor (LRF) for the emissions cap to 3.7% for 2031-2035 and to 1.7% for 2036-2040. This compares to a current LRF of 4.3%, which is set to rise to 4.4% starting in 2028. The proposal also includes increased free allowances for the period 2026-2030. The reduction of free allowances will be slowed, and the phase-out extended until 2038 for sectors covered by the Carbon Border Adjustment Mechanism (CBAM), starting in 2034. EUA prices were little changed on Friday, following the proposal, with much of it already priced in.

Strait of Hormuz visible oil tanker flows grind to a near halt



Source: LSEG, ING Research

Author

Warren Patterson

Head of Commodities Strategy

Warren.Patterson@asia.ing.com

Ewa Manthey

Commodities Strategist

ewa.manthey@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United

THINK economic and financial analysis

States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.